

EXECUTIVE SUMMARY

A. INTRODUCTION

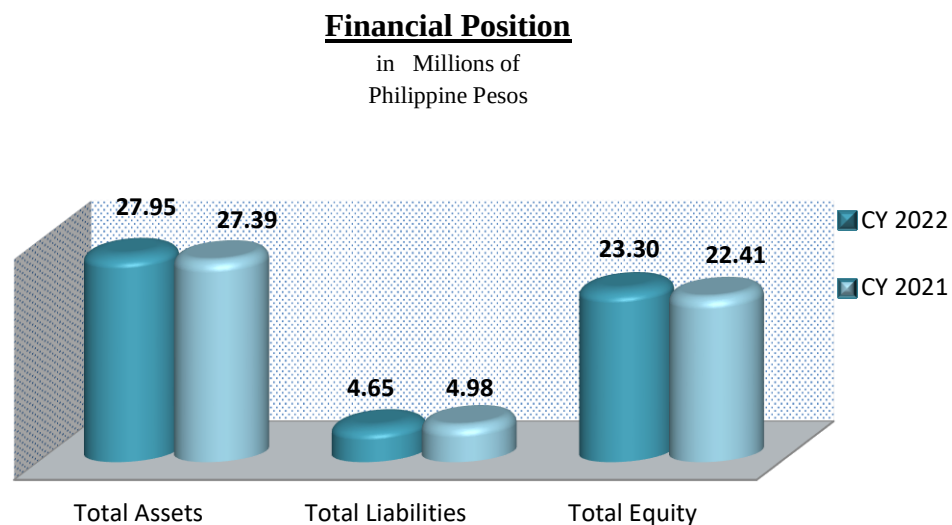
The Dalaguete Water District (DWD) became operative as one of the country's water districts with the issuance by the Local Water Utilities Administration (LWUA) of the Certificate of Conformance No. 436 dated April 19, 1990. DWD is a government-owned and controlled corporation created and existing by virtue of Presidential Decree 198, as amended. On March 29, 2012, pursuant to the Revised Local Water District Manual on Categorization, Re-Categorization and Other Related Matters, DBM has categorized Dalaguete Water District as Category "C" Water District.

The administration of the Water District and the exercise of its corporate powers are vested exclusively in the Board of Directors and the Acting General Manager as authorized by the Board.

As of December 31, 2022, DWD has a total workforce of 27 employees composed of 16 regular personnel, four casual employees and seven job order personnel. The Water District is headed by General Manager Anthony C. Osorio.

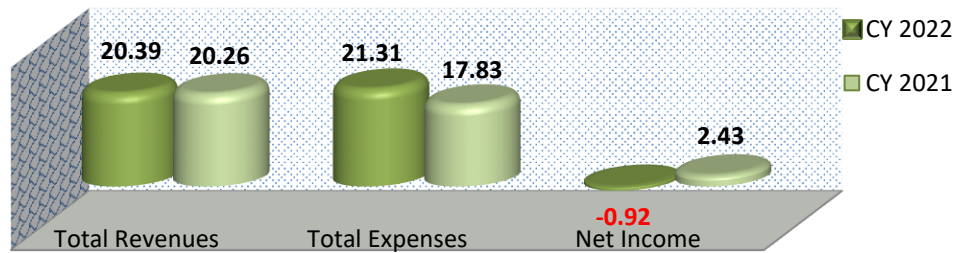
B. FINANCIAL HIGHLIGHTS

The financial position and results of operations for Calendar Years 2021 and 2022 are summarized in the following graphs:



Results of Operations

in Millions of
Philippine Pesos



C. OPERATIONAL HIGHLIGHTS

The following were among the reported accomplishments of the Water District for the calendar years 2021 and 2022:

Category	2022	2021	Increase (Decrease)
Service Connections			
Total Services	7,425	7,012	413
Total Active	6,328	6,166	162
Total Metered	6,313	6,113	200
Total Billed Concessionaires	6,308	6,113	195
Water Production			
Pumped	1,138,746 m ³	1,154,201 m ³	(15,455) m ³
Gravity	1,277,898 m ³	1,116,651 m ³	161,247 m ³

D. SCOPE OF AUDIT

The audit covered the financial transactions of DWD for Calendar Years (CYs) 2021 and 2022. The objectives of the audit were primarily to: (a) ascertain the level of assurance that may be placed on management assertions on the financial statements; (b) recommend agency improvement opportunities; and (c) determine the extent of implementation of prior years' audit recommendations. On a test basis, it also included a review on the propriety of disbursements and other financial transactions to determine whether or not the transactions were made in accordance with existing laws, rules and regulations.

The general audit instructions for the conduct of the CYs 2021 & 2022 Audit of the Water Districts were likewise considered, when applicable.

E. AUDITOR'S REPORT ON THE FINANCIAL STATEMENTS

The auditor expressed a qualified opinion on the fairness of presentation of the financial statements of the Dalaguete Water District in view of the following exceptions noted that need immediate action:

1. Several semi-expendable items totaling ₱1.463 million that were already issued to end-users were still carried in the inventory account contrary to COA Circular No. 2022- 004 dated May 31, 2022 and Paragraph 15 of the Philippine Accounting Standards (PAS) 1. Further, the cost, instead of the carrying amount, was used to reclassify the semi-expendable property from the Property, Plant and Equipment (PPE) accounts to the Inventory accounts, thereby overstating the Inventory and Retained Earnings/(Deficit) accounts by ₱2.617 million and ₱2.537 million, respectively, and understating the CY 2022 Net Loss by ₱0.081 million.
2. The Water District did not recognize the impairment loss on certain PPE accounts with carrying amount totaling ₱12.797 million and ₱16.315 million for CYs 2021 and 2022, respectively, although indications of impairment exist. Thus, the affected PPE accounts are carried at more than their recoverable amount, which is contrary to PAS 1 and 36.

F. OTHER SIGNIFICANT OBSERVATIONS AND RECOMMENDATIONS

In addition to the above, the following were among the significant findings, with the corresponding audit recommendations, which are discussed in detail in Part II of the herein report:

1. The percentage of Non-Revenue Water (NRW) to total water production of DWD is 36.14% and 41.03% for CYs 2021 and 2022, respectively, which are beyond the maximum acceptable rate of 20% set under the Local Water Utilities Administration (LWUA) Board Resolution No. 444, series 2009 as amended. This reduced the agency's revenue by estimated amounts of ₱3.69 million and ₱5.11 million for CYs 2021 and 2022, respectively.

To generate additional revenue and improve efficiency of water distribution to concessionaires, we recommended that Management conduct further investigation/assessment on the main cause/s of the high level of NRW and implement projects/activities that will effectively and efficiently address the reduction thereof.

2. The Water District incurred a net loss of ₱0.920 million as reflected in its Statement of Comprehensive Income for calendar year ended December 31, 2022. This adversely affected the viability of DWD to carry out its finances and operations as required under Section 37 of Chapter IX of Presidential Decree (PD) 198.

We recommended that Management implement the planned solutions/strategies or cost-cutting measures in its programs/activities to eliminate, or at least reduce the Net Loss. We further recommended that Management develop an action plan to lay down specific activities to be undertaken by the Water District to recover from the loss incurred in CY 2022 and ultimately attain financial sustainability.

3. There were indications of splitting of some purchase contracts in the procurement of goods, contrary to Section 54.1 of the Revised Implementing Rules and Regulations (RIRR) of Republic Act (RA) 9184 and COA Circular No. 76-41 dated July 30, 1976. As a result, posting requirements under the procurement law were avoided.

We recommended that Management instruct the BAC to follow strictly the provisions of COA Circular No. 76-41 and the RIRR of RA 9184, particularly on the splitting of government contracts in order to promote transparency in government transactions and competitiveness in the procurement process to achieve economy, efficiency and equity.

4. Various unserviceable semi-expendable property costing ₱2,082,908.49 were not yet disposed of as at December 31, 2022, thus exposing these items to further deterioration and depriving the water district of additional income that could be generated from the sale thereof.

We recommended that Management instruct the Property/Supply Unit to prepare the Inventory and Inspection of Unserviceable Semi-Expendable Property (IIRUSP) and comply with the procedures on disposal of semi-expendable property as provided in Item III of the Annex B of COA Circular No. 2022-004 dated May 31, 2022.

G. GENDER AND DEVELOPMENT

GAD Plan and Budget (GPB) for CYs 2021 and 2022 were prepared but not submitted to the Local Water Utilities Administration (LWUA); and the utilization of GAD budget for CYs 2021 and 2022 was only 29.95% and 6.17%,

respectively of the total GAD budget. Hence, there is no assurance that DWD was able to address gender issues and concerns that are supposedly aimed to promote women empowerment and elimination of gender discrimination.

We recommended to Management the following:

- submit the Water District's annual GPB to LWUA for review, pursuant to Item 4.0 of PCW Memorandum Circular No. 2016-06 and observe the deadline for submission of the GPB as well as the corresponding AR as required under Item V of COA Circular No. 2014-001 dated March 18, 2014; and
- Implement the GAD plan and budget every year and ensure that the activities will address the gender issues of the water district.

H. STATUS OF SETTLEMENT OF SUSPENSIONS, DISALLOWANCES AND CHARGES

The outstanding audit disallowance of DWD as of December 31, 2022 amounted to ₱1,923,224.15.

I. STATUS OF IMPLEMENTATION OF PRIOR YEARS' UNIMPLEMENTED AUDIT RECOMMENDATIONS

We followed up the actions taken by Management on the implementation of the 31 prior years' audit recommendations and noted that 6 were merged, 17 were fully implemented and 8 were not implemented as at December 31, 2022.